TECHNOLOGY ERRORS & OMISSIONS COVERAGE

SECTION I: INSURING AGREEMENTS

Coverage – Technology Errors & Omissions: We shall pay on behalf of the Insured all Loss which the Insured becomes legally obligated to pay as Damages resulting from a Claim first made against the Insured during the Policy Period (or any applicable Extended Reporting Period) for a Wrongful Act in the performance of Technology Services or the provision of Technology Products, provided such Claim is reported in accordance with SECTION V – NOTICES AND CONDITIONS. We have the right and duty to defend any such Claim; **however, defense costs are part of Loss and reduce the applicable Limit of Liability.** No coverage will apply to any Claim or Wrongful Act of which any Insured had knowledge prior to the inception date of this Coverage Part or that is otherwise excluded herein.

SECTION II: DEFINITIONS

A. **Wrongful Act** means any actual or alleged act, error, omission, misstatement, misleading statement, neglect, or breach of duty committed by an Insured in the performance of or failure to perform Technology Services for others, or in the design, manufacture, sale, lease or distribution of Technology Products. Wrongful Act shall not include any alleged deliberately fraudulent or criminal act (except as provided in SECTION IV – Exclusions).

B. **Technology Services** means computer or electronic information technology services performed by or on behalf of an Insured for others for a fee or other remuneration. Technology Services include, but are not limited to: analysis, design, or development of computer software or systems; website or app design; systems or network integration; data conversion or data processing; data storage, hosting or cloud services (including software as a service); IT consulting, tech support, or network security services; computer programming or coding; computer system installation, maintenance, or repair; and other information technology services.

C. **Technology Products** means any computer or telecommunications hardware or software products, or related electronic components or peripherals, that are created, developed, manufactured, sold, licensed, leased, or distributed by an Insured for a fee or other consideration, including any software updates, service packs, or other maintenance releases for such products.

D. **Insured** means the Named Insured stated in the Declarations and any of its Subsidiaries, and any past, present, or future principal, partner, officer, director, or employee of the Named Insured or Subsidiary, but only while acting within the scope of their duties on behalf of the Named Insured. Insured also includes any independent contractor or leased employee working on behalf of the Named Insured in the performance of **Technology Services**, but only if acting under the Named Insured's direct supervision and control. (No person or entity is an Insured for purposes of this Coverage Part if such person or entity initiates a Claim against any other Insured.)

SECTION III: LIMITATIONS OF LIABILITY AND RETENTIONS

A. **Limits of Liability:** The Limit of Liability stated in the Declarations for this Technology E&O Coverage Part is the maximum amount we will pay for all Loss arising from all Claims under this Coverage Part, including Defense Costs. The Each Claim Limit (if specified) is the most we will pay for Loss arising from any single Claim or related

Claims. **All Claims arising out of the same Wrongful Act or a series of related or interrelated Wrongful Acts will be deemed one Claim** first made on the date the earliest of such Claims was first made, or when the earliest notice of a potential claim was given, whichever is earlier. Our obligations under this Coverage Part end when the applicable Limit of Liability is exhausted by payment of Loss, and in no event shall we be liable for Loss or Defense Costs in excess of that Limit.

B. **Retention:** The Retention amount stated in the Declarations for this Coverage Part shall apply to each Claim. We shall be liable only for the Loss excess of the Retention, and the Insured shall bear Loss up to the Retention amount for each Claim. The Retention shall be applied to Defense Costs and Damages and shall be borne by the Insured uninsured and at their own risk. If a single Claim or a group of related Claims triggers more than one Coverage Part or Insuring Agreement, only one Retention (the highest applicable) shall apply to such Claim unless otherwise stated. The Retention is not part of the Limit of Liability; however, Defense Costs we incur in evaluating or determining coverage do not erode the Retention.

C. **Other Insurance:** If any Loss arising from a Claim is insured by any other valid and collectible insurance (including any other Coverage Part of this Policy or any other policy issued to the Named Insured), this Coverage Part shall apply only to the extent such Loss exceeds the coverage afforded by such other insurance, whether such other insurance is stated to be primary, contributory, excess, or contingent. This Coverage Part will not contribute with any other insurance or coverage that applies to a Claim covered hereunder.

D. **Related Claims and Split Proceedings:** If a Claim covered under this Coverage Part includes matters which are also covered under another Coverage Part of this Policy or involve both covered and uncovered allegations, we and the Insured shall use best efforts to fairly allocate Defense Costs and other Loss between covered and uncovered matters. Only Loss allocated to the covered Wrongful Acts under this Coverage Part shall erode the Limits of Liability applicable to this Coverage Part.

SECTION IV: EXCLUSIONS

We shall not be liable under this Coverage Part for any Loss or Claim:

A. **Bodily Injury/Property Damage:** based upon or arising out of any actual or alleged bodily injury, sickness, disease, mental anguish, emotional distress, or death of any person; or physical injury to, loss of use of, or destruction of any tangible property. This exclusion does not apply to a claim for purely economic loss to electronic data or software caused by a Wrongful Act in the performance of Technology Services (however, any liability for loss of or damage to data is otherwise excluded by Exclusion **e** below unless covered by endorsement).

B. **Personal Injury (Media and Privacy) Acts:** based upon or arising out of any actual or alleged: libel, slander, disparagement, defamation of character; invasion of privacy, false light, public disclosure of private facts, intrusion, or misappropriation of name or likeness; false arrest, detention or imprisonment; malicious prosecution; wrongful entry, eviction or other invasion of the right to private occupancy; or infringement of title, slogan, trademark, trade name, trade dress, copyright, or other intellectual property rights. **This exclusion shall not apply to the extent that such Claim is specifically covered under a Media Liability or Intellectual Property endorsement to this Policy.** (All

media, content, and IP-related liabilities are excluded from the base coverage unless added by endorsement.)

C. **Breach of Contract / Express Warranties:** based upon or arising out of any actual or alleged breach of contract, warranty, guarantee, service level agreement, or promise of cost savings or performance by any Insured. This includes any Claim for liquidated damages or penalties under any contract. However, this exclusion shall **not** apply to that portion of a Claim alleging that the Insured's negligent act or omission in the performance of Technology Services or provision of Technology Products *caused* the Insured to fail to meet its contractual obligations, **and** which results in liability the Insured would have in the absence of the contract. (No coverage is provided for pure breach of contract claims, nor for any express guarantees of performance, except as specifically endorsed.)

D. **Refunds and Pricing Disputes:** based upon or arising out of any dispute over fees, charges, or commissions charged by the Insured, including claims for the return, restitution, reimbursement, or disgorgement of fees, profits or other funds; or any claim that the Insured charged or collected incorrect, unfair, or excessive fees, or failed to collect or pay fees or royalties. This exclusion also applies to any cost overruns, or the Insured's failure to meet cost or pricing representations or estimates, or claims of over-budget performance.

E. **Unauthorized Access/Data Breach:** based upon or arising out of any actual or alleged unauthorized access to, unauthorized use of, theft of, loss of, damage to, corruption of, inability to access, or disclosure of any data, software, or confidential or personal information, including any **Privacy Wrongful Act** or **Security Wrongful Act** (such as the introduction of malicious code, ransomware, denial of service attacks, or failure to prevent any of the foregoing). This exclusion applies to any Claim arising out of a security breach or privacy breach incident, including any failure to safeguard personal data or failure to prevent unintended propagation of malicious code. (Coverage for third-party liability arising from data breach, network security failures, or unauthorized data disclosure may be made available by endorsement, but is excluded from this base Coverage Part.)

F. **Intellectual Property:** based upon or arising out of any actual or alleged plagiarism, misappropriation of ideas, trade secrets or confidential information, or infringement of any patent, trade secret, copyright, trademark, service mark, trade name, trade dress, publicity rights or any other intellectual property or proprietary right. **This exclusion is broadly applicable** to any intellectual property claims whether asserted by individuals or entities. *(This exclusion does not apply to the extent that an Intellectual Property Liability endorsement is attached to the Policy to specifically provide such coverage for copyright or trademark infringement as defined therein.)*

G. **Insured vs. Insured (Certain Internal Claims):** made by or on behalf of any Insured against any other Insured. This includes any Claim brought by any entity that is owned, controlled by, or under common control with an Insured, or in which any Insured owns 10% or more of the equity or debt. However, this exclusion shall not apply to: (i) any Claim for contribution or indemnity arising from a third-party Claim that is otherwise covered; or (ii) any Claim made by an Insured that is an independent contractor or client of the Named Insured, when such Claim results directly from a Wrongful Act in the performance of Technology Services for that independent contractor or client (and is not collusive in nature).

H. **Employment Practices & Employee Injury:** based upon or arising out of any wrongful employment practice, including any employment-related discrimination, harassment, retaliation, wrongful termination or other employment dispute; or any Claim by any present or former employee of the Insured arising out of injury sustained in the course of employment (other than a tech professional services wrongful act covered by this Coverage Part). This exclusion also applies to any Claim for disability discrimination or failure to accommodate, workers compensation, unemployment, OSHA violations, or any similar employment or workplace-related claim.

I. **Directors & Officers / Shareholder Actions:** based upon or arising out of any act, error, or omission by an Insured in their capacity as a director, officer, manager or trustee of the Insured organization (or as such for any other entity), or any Claim brought by or on behalf of a shareholder, partner or investor in the Insured seeking to enforce rights as an owner or stakeholder. (Such claims are generally covered, if at all, under a Directors & Officers liability coverage part, not this Professional Liability coverage.)

J. **Unfair Competition/FTC/Statutory Violations:** based upon or arising out of any actual or alleged antitrust violation, price fixing, restraint of trade, unfair competition, unfair or deceptive business practices, false or misleading advertising, or violation of any consumer protection statute (including but not limited to claims under the Telephone Consumer Protection Act (TCPA), CAN-SPAM Act, or any similar federal, state or local laws regulating unsolicited communications, do-not-call lists, consumer privacy or marketing practices). This exclusion includes any Claim alleging violations of the Federal Trade Commission Act, Sherman Act, Clayton Act, or any rules or regulations promulgated thereunder, and any other federal or state law designed to prevent anti-competitive practices or consumer fraud.

K. **Contaminants and Environmental:** based upon or arising out of the actual, alleged or threatened discharge, dispersal, release, escape, seepage, migration or infiltration of Contaminant at any time. This exclusion applies whether or not the Claim alleges negligence in testing, monitoring, remediation or failure to give warnings in connection with Contaminants.

L. **Fire, Safety or Product-Related Bodily Injury:** based upon or arising out of any design or manufacturing defect or failure of any product, equipment or device to avert or prevent: bodily injury, property damage, personal injury, or any nuclear, fire, explosion, collision or other hazard. This includes any Claim alleging that a Technology Product or work of the Insured caused damage to any person or physical property by causing or failing to prevent any of the foregoing hazards. (This exclusion does not apply to purely financial loss or loss of use of intangible property resulting from the failure of Technology Products, which is encompassed by this Coverage Part subject to all other terms and exclusions.)

M. **Product Recall and Repair:** for the withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of any Technology Product or any product or property of others incorporating a Technology Product, or the withdrawal, re-performance or correction of any work or services performed by the Insured (including any Software, content or other deliverables provided as part of Technology Services). This exclusion applies to any costs or expenses associated with any recall, fix, or removal of products or work product from the marketplace or from use, including any related loss of use or loss of profits by any customer or third party. (Coverage for product recall or withdrawal

expenses may be made available by endorsement, but is excluded from Loss under this base form.)

N. **Fraudulent, Dishonest or Criminal Acts:** based upon or arising out of any deliberate fraudulent, dishonest, criminal or malicious act, error or omission, or any knowing or intentional violation of law, by an Insured. However, **this exclusion shall not apply to Defense Costs** incurred prior to a final adjudication or admission establishing that such conduct in fact occurred, at which time the Insured shall reimburse us for any Defense Costs advanced. This exclusion does not apply to any Insured who did not personally commit, participate in, or knowingly acquiesce to the conduct (this non-imputation clause does not extend coverage to the organization if a senior executive committed the excluded act). For purposes of clarity, this exclusion does not relieve the Insured of any requirement to repay Defense Costs in the event it is determined that the Insured engaged in intentionally dishonest or criminal conduct.

O. **Prior Acts / Prior Pending:** based upon or arising out of any Wrongful Act committed, or any fact, circumstance or situation that an Insured knew about (or reasonably should have known about) prior to the inception date of this Coverage Part, if such Wrongful Act or circumstance could reasonably be expected to give rise to a Claim. This includes any Claim or litigation pending or initiated against an Insured prior to the inception date of this Coverage Part, and any Claim arising out of or based upon any such prior or pending proceeding or any Interrelated Wrongful Acts common to them. In addition, no coverage shall apply to any Claim arising from any Wrongful Act or circumstance that has been the subject of any notice of claim or potential claim given under any other insurance policy or coverage before the inception of this Policy.

P. **Contractual Liability (Indemnities to Others):** based upon or arising out of any liability assumed by any Insured under any contract or agreement, including hold harmless or indemnity agreements, warranties or guarantees made by an Insured, **to the extent such liability exceeds the liability the Insured would have in the absence of such contract or agreement**. This exclusion does not apply to an Insured's liability for a Wrongful Act which is independently actionable in tort absent the contract (see carveback in Exclusion **c** above). *(In no event will this Policy cover the Insured's agreement to be liable for another party's negligence or breaches, unless such liability would attach regardless of the contract.)*

Q. **Professional Services Not Covered / Other Business Activities:** based upon or arising out of the Insured's rendering or failure to render professional services that are not defined as Technology Services (or that are specifically declared in the Policy as not covered). This includes, without limitation, the performance of any medical, healthcare, legal, accounting, financial, architectural, engineering, insurance brokerage, real estate, or other professional services that are outside the scope of Technology Services. (If the Insured is engaged in any other professional services, separate Errors & Omissions coverage must be in place for those services; this Policy's Technology E&O Coverage Part applies only to the defined Technology Services and Technology Products.)

R. **Governmental Orders and Regulations:** based upon or arising out of any order, decree or regulatory directive by any governmental or regulatory authority, including any requirement to modify, cease, or recall any Technology Product or service, or to pay fines or penalties (except to the extent that Defense Costs for certain regulatory proceedings may be provided by endorsement). This exclusion also includes any costs of compliance with injunctive or non-monetary relief. (Defense of regulatory

investigations or subpoena compliance may be provided by separate endorsement; otherwise such costs and regulatory matters are excluded.)

All other terms, conditions, and exclusions of the Policy remain applicable. The above exclusions apply regardless of the legal theory pled (e.g. whether sounding in contract, tort, statute, or any other theory) and to any Claim for injunctive relief, monetary damages, restitution, or any other form of relief.

SECTION V: NOTICES AND CONDITIONS

A. **Claims Made and Related Claims:** This Coverage Part is provided on a claims-made basis. Coverage applies only to Claims first made against the Insured during the Policy Period (or any Extended Reporting Period, if applicable). As a condition precedent to coverage, the Insured must provide written notice of any Claim to us as specified in paragraph 2. below. Multiple Claims arising from the same Wrongful Act or Interrelated Wrongful Acts shall be deemed a single Claim first made on the date of the earliest such Claim, and only one Limit of Liability and one Retention shall apply as provided in Section III. If notice of a potential Claim (circumstance) is accepted by us during the Policy Period, then any Claim subsequently arising from the reported circumstance shall be deemed first made during the Policy Period in which the circumstance was reported.

B. **Notice of Claims or Circumstances:** The Insured shall, as a condition of coverage, give written notice to the Company of any Claim made against any Insured as soon as practicable, but in no event later than any notice deadline specified in the General Policy Conditions or Declarations. Notice shall include details sufficient to identify the Insured and claimant, and all reasonably obtainable information about the time, place, and circumstances of the Wrongful Act and the nature of the Claim, as well as copies of any demands, lawsuits, or written communications received. If during the Policy Period an Insured becomes aware of any specific circumstance that could reasonably be expected to give rise to a Claim, the Insured may provide written notice of such circumstance to the Company with full particulars, prior to the end of the Policy Period. In that event, any Claim subsequently arising from such reported circumstance shall be deemed to be a Claim first made during this Policy Period. All notices shall be sent to the address designated in the Policy for claims notice.

C. **Defense and Settlement:** We have the right and duty to defend any Claim covered by this Coverage Part, even if any of the allegations are groundless, false or fraudulent. The Insured shall not admit liability, incur any Defense Costs, assume any obligation, enter into any settlement, or take any action that could prejudice our rights, without our prior written consent (such consent not to be unreasonably withheld). We shall have the right to make any investigation we deem necessary and to appoint counsel of our choice (after consultation with the Insured) to defend the Claim. The Insured has the right, at their own expense, to associate in the defense with counsel of their choice, but we shall control the defense unless and until we tender the remaining policy limits. We may, with the written consent of the Insured, settle any Claim as we deem expedient. If the Insured refuses to consent to a settlement demand that is acceptable to the claimant and to us, our liability for Loss on that Claim shall not exceed the amount for which the Claim could have been settled (including Defense Costs incurred up to the date of the Insured's refusal) plus 50% of covered Loss (including Defense Costs) incurred thereafter. The remaining 50% of such subsequent Loss shall be borne by the Insured uninsured. (This is commonly referred to as the "hammer clause.") In such event, we shall have the right

to withdraw from the further defense of the Claim by tendering control of the defense to the Insured, and the Insured agrees to assume all future Defense Costs and defense of the Claim at their own expense.

D. **Insured's Duty to Cooperate:** The Insureds shall cooperate with us and with any appointed defense counsel in the investigation, defense, settlement, or appeal of any Claim. Upon our request, the Insured shall assist in the securing and giving of evidence, attending hearings, depositions and trials, and obtaining the attendance of witnesses. The Insured shall also assist in effecting any rights of contribution or subrogation, including executing any necessary papers. The Insured agrees to do nothing that may prejudice our position or rights of recovery. Any Insured, as often as may be reasonably required, shall submit to examination by us under oath and shall provide written statements, verify answers to questions, and produce documents pertaining to the Claim. The Insureds will enforce any contractual rights to indemnity or contribution in the Insured's favor, and hold in trust for us any sums obtained, to reimburse us to the extent we have paid any Loss.

E. **Subrogation:** In the event of any payment under this Coverage Part, we shall be subrogated to the rights of the Insured against any person or entity who may be liable to the Insured for such Loss. The Insured agrees to execute all papers required and do everything necessary to secure and preserve such subrogation rights, including the execution of any documents necessary for us to bring suit in the name of the Insured. We will not subrogate against any person or entity who is an Insured under this Policy unless the Claim against that Insured arose from their fraudulent, dishonest, criminal or malicious acts (as established by final adjudication). **Any recoveries** (after deducting the costs and expenses incurred in obtaining such recovery) shall be applied first to subrogation expenses, second to Loss paid by us, and lastly to the Retention (if unreimbursed by the Named Insured). Any remainder shall be paid to the Insured.

F. **Extended Reporting Period:** If and to the extent an Extended Reporting Period (ERP) option is offered under the General Policy Conditions (such as in the event of cancellation or non-renewal of this Policy), the Named Insured may elect to purchase an ERP for this Coverage Part as described therein. During any ERP, coverage under this Coverage Part shall apply to Claims first made against the Insured and reported to us during the ERP, but only with respect to Wrongful Acts that occurred before the end of the Policy Period and otherwise subject to all terms, conditions and exclusions of this Coverage Part. The ERP is not a new policy and does not increase or reinstate any Limits of Liability – it simply extends the time in which a Claim may be reported for Wrongful Acts occurring prior to policy expiration. All notices or premium payments with respect to an ERP must be made in accordance with the general policy conditions regarding Extended Reporting Period.

G. **Other Conditions:** This Coverage Part is subject to all terms and conditions of the general Policy, including representations and severability provisions in the application, territory, cancellation/non-renewal, and dispute resolution provisions, except as specifically modified herein. In no event shall any changes to or waiver of any terms of this Coverage Part be effective unless made by written endorsement issued by the Company. If any provision of this Coverage Part is found to be unenforceable or void, it shall not invalidate the remaining provisions. The titles and headings in this Coverage Part are for reference only and shall not be considered in interpreting coverage.

H. **Conformance with Law:** Any terms of this Coverage Part that conflict with the laws of any jurisdiction wherein this Policy is issued or coverage is provided are hereby amended to conform to such laws. In states where the insurer is prohibited from defending certain claims (such as certain statutory violations), the Company will reimburse Defense Costs to the extent permitted by law.